

Table 3: Fama regressions by state. Specification: $\Delta s_{i,t+1} = a_i + \beta_F \frac{1}{12}(i_{i,t} - i_{US,t}) + e_{i,t+1}$, monthly appreciation vs. USD (%/month) on the lagged money-market differential (%/month), 1988:01–2026:02. Per-currency slopes with Newey–West (12 lags) t -statistics, estimated separately on the no-signal months, the IYC signal months, and the signal months outside and inside the downcurve regime. Pooled row: country fixed effects, with the differential interacted with the signal (two-state specification) or with the non-downcurve and downcurve signal months (three-state specification); the entry is the implied slope in the state, with the interaction’s Newey–West t in parentheses and its wild cluster bootstrap p on signal runs in brackets ($B = 9,999$), stars by that p . UIP implies a slope of -1 .

Currency	No signal		IYC signal		Non-downcurve		Downcurve	
	β_F	t_{NW}	β_F	t_{NW}	β_F	t_{NW}	β_F	t_{NW}
AU	+1.63	+1.62	+0.12	+0.07	−8.49	−1.28	+0.66	+0.71
CA	−0.77	−0.80	+1.40	+1.91	−3.21	−0.62	+0.25	+0.23
CH	+2.00	+1.97	−1.93	−0.79	−6.07	−1.33	+0.94	+0.26
EU	+1.60	+1.20	−5.87	−1.60	−9.02	−1.71	−2.08	−0.51
GB	+0.14	+0.09	−0.62	−0.38	−3.96	−0.68	+1.96	+0.80
JP	+1.47	+1.51	+0.88	+0.97	+0.19	+0.10	+3.60	+3.37
NO	−0.67	−0.56	−3.65	−1.35	−5.35	−1.24	−2.97	−0.96
NZ	+0.64	+0.74	−1.12	−0.36	−6.62	−1.37	+3.02	+3.81
SE	−0.76	−0.54	−1.74	−0.85	−5.94	−0.87	−2.35	−1.17
<i>Pooled, currency fixed effects: implied slope by state</i>								
<i>(interaction t_{NW} in parentheses, wild p in brackets)</i>								
Pooled	+0.50	(+0.97)	−1.33	(−2.39)	−4.64*	(−3.72)	+0.40	(+0.02)
				[0.340]		[0.088]		[0.994]